

EARNING PASSIVE INCOME



Savings accounts can offer modest to high returns, but savers should know their other terms before investing.



Blogging on a popular subject can be monetized in various ways.



Royalty payments can be negotiated for photography, writing, or other creative work.



Rent from a house or spare room can provide individuals with a regular source of funds.



Online market places, garage sales and auctions can raise funds through selling unwanted items.



Focus and market research groups pay individuals to test new products.



NEED TO KNOW

- **Portfolio income** Money earned from interest, dividends, or capital gains. This is recognized as a separate type of income by tax authorities in some countries, such as the US.
- **Capital gain** The profit earned from the sale of an asset, such as a house or art, that has gone up in value since it was first bought.
- **Unearned income** Money from investments, pension funds, alimony, interest, or rental property.

Earning passive income

Money is received in exchange for little ongoing effort. It is earned from investments, which require some work to set up but then need less attention. The term can also be used to refer to money-making activities undertaken on the side.

